



Financial Statements

CENTANA GROWTH PARTNERS II, L.P.

For the year ended December 31, 2024

(With Independent Auditors' Report Thereon)

Do Not Distribute
Reporting Central Investment



CENTANA GROWTH PARTNERS II, L.P.

TABLE OF CONTENTS

	Page
Independent Auditor's Report	1-2
Financial Statements	
Statement of Assets, Liabilities and Partners' Capital	3
Statement of Operations	4
Statement of Changes in Partners' Capital	5
Schedule of Investments	6
Statement of Cash Flows	7
Notes to Financial Statements	8-20

Independent Auditor's Report

General Partner
Centana Growth Partners II, L.P.

Opinion

We have audited the financial statements of Centana Growth Partners II, L.P. (the Partnership), which comprise the statement of assets, liabilities and partners' capital, including the schedule of investments, as of December 31, 2024, the related statements of operations, changes in partners' capital and cash flows for the year then ended, and the related notes to the financial statements.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Partnership as of December 31, 2024, and the results of its operations, changes in partners' capital and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Partnership and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Partnership's ability to continue as a going concern within one year after the date that the financial statements are issued or available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Partnership's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Partnership's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

RSM US LLP

New York, New York
March 31, 2025



CENTANA GROWTH PARTNERS II, L.P.
Statement of Assets, Liabilities and Partners' Capital
December 31, 2024

ASSETS

Investments at fair value (cost of \$279,339,091)	\$	350,315,732
Cash		2,830,152
Deferred financing costs		42,000
Prepaid expenses		39,278
Due from investors		20,167
Total assets	\$	353,247,329

LIABILITIES AND PARTNERS' CAPITAL

LIABILITIES

Line of credit	\$	32,217,253
Due to affiliates		442,279
Interest payable		198,113
Accounts payable and accrued expenses		150,003
Total liabilities		33,007,648

PARTNERS' CAPITAL

General Partner		5,959,316
Limited Partners		314,280,365
Total partners' capital		320,239,681
Total liabilities and partners' capital	\$	353,247,329

The accompanying notes are an integral part of these financial statements



CENTANA GROWTH PARTNERS II, L.P.
Statement of Operations
For the year ended December 31, 2024

INCOME	
Interest income	\$ 7,817
Total income	7,817
EXPENSES	
Management fees	\$ 9,066,168
Interest expense	1,163,646
Other expenses	678,308
Professional fees	558,104
Research expense	170,086
Insurance expense	75,130
Total expenses	11,711,442
Management fee offsets	(458,823)
Net expenses	11,252,619
Net investment loss	(11,244,802)
REALIZED GAIN AND CHANGE IN UNREALIZED APPRECIATION ON INVESTMENTS	
Net realized gain on investments	12,561,118
Change in unrealized appreciation on investments	1,100,500
Net realized gain and change in unrealized appreciation on investments	13,661,618
Net increase in partners' capital resulting from operations	\$ 2,416,816

The accompanying notes are an integral part of these financial statements

CENTANA GROWTH PARTNERS II, L.P.
Statement of Changes in Partners' Capital
For the year ended December 31, 2024

	General Partner	Limited Partners	Total
Balance, January 1, 2024	\$ 11,846,466	\$ 251,192,926	\$ 263,039,392
Capital contributions	752,594	54,030,879	54,783,473
Net investment loss	(69,193)	(11,175,609)	(11,244,802)
Net realized gain on investments	329,537	12,231,581	12,561,118
Change in unrealized appreciation on investments	28,871	1,071,629	1,100,500
Reallocation of carried interest	(6,928,959)	6,928,959	-
Balance, December 31, 2024	\$ 5,959,316	\$ 314,280,365	\$ 320,239,681

Do Not Distribute
Reporting Central Investment

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CENTANA GROWTH PARTNERS II, L.P. **Schedule of Investments** **December 31, 2024**

Company	Country	Industry	Security	Initial Date of Acquisition	Number of Shares/Units	Cost	Fair Value	% of Partners' Capital
United States non-publicly traded securities								
Teikametrics, Inc.	United States	AI-powered eCommerce	Series B Preferred	7/15/2021	78,721	\$10,045,721	\$10,037,887	3.13%
Teikametrics, Inc.	United States	AI-powered eCommerce	Series B-2 Preferred	9/20/2022	59,870	\$8,009,964	\$7,999,997	2.50%
Total Teikametrics, Inc.						18,055,685	18,037,884	5.63%
Sayari Labs, Inc.	United States	Data intelligence	Series C Preferred	8/31/2021	2,083,255	\$13,058,089	\$47,819,948	14.94%
Eventus Systems, Inc.	United States	Trade surveillance and monitoring	Series B Preferred	9/1/2021	4,511,194	\$17,853,713	\$22,849,643	7.14%
Eventus Systems, Inc.	United States	Trade surveillance and monitoring	Convertible Promissory Note*	1/5/2024	-	\$1,012,417	\$2,080,222	0.65%
Total Eventus Systems, Inc.						\$18,866,130	\$24,929,865	7.79%
Zesty, ai., Inc.	United States	Insurance Property Analytics	Senior B Preferred	7/1/2022	18,261,343	\$19,087,307	\$23,547,409	7.35%
Zesty, ai., Inc.	United States	Insurance Property Analytics	Common	7/1/2022	2,274,102	\$2,385,912	\$2,126,263	0.66%
Total Zesty, ai., Inc.						21,473,219	\$25,673,672	8.01%
Thoropass, Inc.	United States	Security Compliance Automation	Senior C Preferred	8/17/2022	1,724,606	\$12,539,143	\$12,499,996	3.90%
Striveworks, Inc.	United States	Machine Learning Operations	Series A Preferred	5/19/2023	17,705,671	\$24,053,219	\$44,972,212	14.04%
RepeatMD, Inc.	United States	Vertical Software / Payments (Aesthetic & Wellness)	Series A Preferred	9/28/2023	3,559,298	\$20,837,811	\$20,749,995	6.48%
Adroit Trading Technologies, Inc.	United States	Capital Markets Software	Series A Preferred	1/16/2024	1,868,012	\$15,144,090	\$16,150,684	5.04%
Cayosoft, Inc.	United States	Identity & Access Management	Series A Preferred	2/15/2024	14,539,781	\$22,689,778	\$25,396,245	7.93%
Gradient A.I. Corp.	United States	Insurance Technology	Series C-1 Preferred	7/1/2024	3,362,324	\$28,680,807	\$28,680,807	8.96%
Falcon Connect Parent, Inc.*	United States	Insurance Technology	Series A Preferred	10/29/2024	4,721,435	\$30,005,978	\$30,005,978	9.37%
Total United States non-publicly traded securities						\$225,403,949	\$294,917,286	92.09%
Canada non-publicly traded securities								
Paper Interactive, Inc. (dba Athenian)	Canada	Entity Management Software	Series B Preferred	3/7/2022	19,757,165	\$17,471,942	\$15,344,993	4.79%
Plooto, Inc.	Canada	AP/AR Software	Series B Preferred	11/18/2022	5,344,063	\$17,230,213	\$17,000,071	5.31%
Operto Guest Technologies, Inc.	Canada	Property Automation Software	Series B Preferred	3/15/2023	3,052,993	\$19,232,987	\$23,053,382	7.20%
Total Canada non-publicly traded securities						\$53,935,142	\$55,398,446	17.30%
Total investments, at fair value						\$279,339,091	\$ 350,315,732	109.39%

*Investment in First Connect Insurance Services, LLC was made through Falcon Connect Parent, Inc.

*Convertible Promissory Note, 8% interest with a maturity date of 6/30/2025.

The accompanying notes are an integral part of these financial statements



CENTANA GROWTH PARTNERS II, L.P.
Statement of Cash Flows
For the year ended December 31, 2024

CASH FLOWS FROM OPERATING ACTIVITIES

Net increase in partners' capital resulting from operations	\$ 2,416,816
Adjustments to reconcile net increase in partners' capital resulting from operations to net cash used in operating activities:	
Purchase of investments and capitalized deal expenses	(97,533,923)
Proceeds received from investments	24,417,686
Net realized gain on investments	(12,561,118)
Change in unrealized appreciation on investments	(1,100,500)
Changes in operating assets and liabilities:	
Increase in deferred financing costs	(333)
Decrease in prepaid expenses	30,872
Decrease in due to affiliates	(104,167)
Increase in interest payable	198,113
Increase in accounts payable and accrued expenses	29,624
	<u>(84,206,930)</u>
Net cash used in operating activities	<u>(84,206,930)</u>

CASH FLOWS FROM FINANCING ACTIVITIES

Proceeds from capital contributions, net of changes in due from investors	54,771,096
Proceeds from credit facility	103,641,935
Repayment of credit facility	<u>(71,424,682)</u>
	<u>86,988,349</u>
Net cash provided by financing activities	<u>86,988,349</u>
Net increase in cash	2,781,419

Cash, beginning of year	<u>48,733</u>
Cash, end of year	<u><u>\$ 2,830,152</u></u>

Supplemental disclosure of cash flow information

Interest expense paid for the year	\$ 977,212
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CENTANA GROWTH PARTNERS II, L.P.

Notes to Financial Statements

For the year ended December 31, 2024

1. Organization and Business

Centana Growth Partners II, L.P. (the "Partnership."), a Delaware limited partnership was formed on September 13, 2019, and had its initial closing and commenced operations on November 22, 2019 (Commencement of Operations). Centana Growth Partners GP II, LLC, a Delaware limited liability company (referred to as the "General Partner") is the General Partner of Centana Growth Partners II, L.P.

The activities of the Partnership are governed by the First Amendment to Amended and Restated Agreement of Limited Partnership dated December 2, 2020 (the "Partnership Agreement"). The primary purpose of the Partnership is to make venture capital investments, including growth equity investments, principally by investing in and holding equity and equity-oriented securities of privately held companies in financial services, financial technology, enterprise technology and related fields.

Pursuant to the provisions of the Partnership Agreement, the General Partner admitted limited partners, and accepted increases in capital commitments in closings through November 22, 2020 (the "Final Closing Date"). There were no closes after December 4, 2019. The total Limited Partners' Capital Commitments in the aggregate are \$375,000,000, and the General Partner's Capital Commitment equals two percent and six tenths (2.6%) of the aggregate Capital Commitments of the Partners, totaling \$385,103,061 for the Partnership.

The Partnership will continue in existence until November 22, 2030, unless extended or dissolved by the General Partner, in accordance with the provision of the Partnership Agreement. The General Partner may extend the term of the Partnership in its discretion for one successive one-year period, and may be extended for an additional one successive one-year period with the approval of the Limited Partner Advisory Committee.

The General Partner has entered into a management services agreement with Centana Management, LLC (the "Management Company"), a Delaware limited liability company. The Management Company shall consult with the General Partner and shall manage the assets of the Partnership.

Capitalized terms not otherwise defined herein are defined in the Partnership Agreement.

2. Summary of Significant Accounting Policies

Basis of Accounting

The Partnership prepares its financial statements on the accrual basis in accordance with accounting principles generally accepted in the United States of America ("GAAP"). The Partnership is considered an investment company under US GAAP and follows the accounting and reporting guidance applicable to investment companies in Financial



CENTANA GROWTH PARTNERS II, L.P.

Notes to Financial Statements

For the year ended December 31, 2024

Accounting Standards Board (“FASB”) Accounting Standard Codification (“ASC”) 946, Financial Services Investment Companies (“ASC 946”).

Investment Transactions

Purchases and sales of investments are recorded upon the closing of the transaction. Investments are recorded at estimated fair value with unrealized gains and losses reflected in the Statement of Operations. Realized gains and losses from sales of investments are determined using the specific identification method. Change in unrealized gain or loss is recognized based on the differences in fair value of investments between reporting periods.

Investment Income and Expenses

Interest income is recorded as earned and dividend income is recorded when declared and paid in cash. Expenses are recorded when incurred.

Estimates

The preparation of financial statements in conformity with GAAP requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities, disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of income and expenses during the reporting period. The most significant estimate relates to the valuation of investments. Actual results could differ from those estimates and the difference could be material.

Cash

Cash balances at banks are insured by the Federal Deposit Insurance Corporation (“FDIC”) up to \$250,000 each. Cash balance may, at times, exceed the FDIC insurance limit. Management does not believe significant credit risk exists at December 31, 2024. At times, this balance may exceed federally insured limits and thus potentially subjects the Partnership to a concentration of credit risk. The Partnership has not experienced any losses in such accounts. As of December 31, 2024, the Partnership has no cash equivalents.

Foreign Currency

Assets and liabilities are translated at closing spot rates of exchange on December 31, 2024 with unrealized gains and losses reflected in net change in unrealized gain (loss) on other assets and liabilities due to foreign current translation of the Statement of Operations. Transactions during the period were translated at the spot rate of exchange prevailing on the date of the transactions.



CENTANA GROWTH PARTNERS II, L.P.

Notes to Financial Statements

For the year ended December 31, 2024

The Partnership does not isolate that portion of gains and losses on investments which is due to changes in foreign exchange rates from that which is due to changes in market prices of the investments. Such fluctuations are reflected in net realized gain (loss) from and unrealized appreciation (depreciation) on investments on the Statement of Operations.

Organization and Syndication Costs

The Partnership shall bear all of the organization costs, fees and expenses incurred in connection with the formation and organization of the Partnership. To the extent that such organization expenses borne by the Partnership pursuant to the foregoing sentence exceed \$1,250,000, the amount of management fee payable shall be reduced on a dollar-for-dollar basis by the amount of such excess. In addition to the foregoing, the Partnership shall bear all placement fees incurred in connection with the offer sale and/or syndication of limited partnership interests in the Partnership (collectively "Partnership Placement Fees"), and such Partnership Placement Fees shall not be considered part of the organization costs, fees and expenses described in the preceding sentence.

Organization costs relating to the formation of the Partnership are charged as an expense when incurred. The Partnership did not incur organizational costs for the year ended December 31, 2024. Syndication costs, which include Partnership Placement Fees and marketing expenses, represent costs incurred in connection with the syndication of limited partnership interests. The costs are reflected as reduction of partners' capital. \$0 was incurred for syndication costs for the year ended December 31, 2024. The Partnership Placement Fees payable by the Partnership as of December 31, 2024 are \$0.

Transaction Costs

Broken deal costs including legal, accounting, auditing, consulting, travel, financing, commitment fee, appraisal costs and other expenses incurred primarily in connection to investment transactions that are not successfully consummated are borne by the Partnership. Cost related to consummated investment transactions not reimbursed by portfolio companies are capitalized as part of the cost basis of the Partnership's investments. As of December 31, 2024 there were \$355,035 in Transaction Costs, included in Other Expenses balance on the Statement of Operations.

Investments and Fair Value Measurements

The Partnership discloses the fair value of its investments in a hierarchy that prioritizes the inputs to valuation techniques used to measure the fair value in accordance with the authoritative guidance on fair value measurements and disclosure under GAAP. The hierarchy gives the highest priority to valuations based upon unadjusted quoted prices in active markets for identical assets or liabilities (Level 1 measurement) and the lowest



CENTANA GROWTH PARTNERS II, L.P.

Notes to Financial Statements

For the year ended December 31, 2024

priority to valuations based upon unobservable inputs that are significant to the valuation (Level 3 measurements). The three levels of the fair value hierarchy as follows:

- Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;
- Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;
- Level 3 Inputs that are unobservable. The inputs into the determination of fair value require significant judgment and estimation.

An investment's level within the fair value hierarchy is based upon the lowest level of any input that is significant to the fair value measurement. However, the determination of what constitutes "observable" requires significant judgment by the General Partner. The General Partner considers observable data to be market data which is readily available, regularly distributed or updated, reliable and verifiable, not proprietary, and provided by independent sources that are actively involved in the relevant market. The categorization of an investment within the hierarchy is based upon the pricing transparency of the investment and does not necessarily correspond to the General Partner's perceived risk of that investment.

The Partnership's investments have been classified within Level 3 as they have unobservable inputs, as they trade infrequently or not at all. Level 3 investments include classes of LLC units and Inc. units. When observable prices are not available for these securities, the General Partner uses one or more valuation techniques (e.g., the market approach, the income approach or, the cost approach) for which sufficient and reliable data is available. Within Level 3, the use of the market approach generally consists of using comparable market transactions, while the use of the income approach generally consists of the net present value of estimated future cash flows, adjusted as appropriate for liquidity, credit, market and/or other risk factors.

The inputs used by the General Partner in estimating the value of Level 3 investments include the original transaction price, recent transactions in the same or similar instruments, completed or pending third-party transactions in the underlying investment or comparable issuers, subsequent rounds of financing, recapitalizations and other transactions across the capital structure, offerings in the equity or debt capital markets, and changes in financial ratios or cash flows. Level 3 investments may also be adjusted to reflect illiquidity and/or nontransferability, with the amount of such discount estimated by the General Partner in the absence of market information.



CENTANA GROWTH PARTNERS II, L.P.

Notes to Financial Statements

For the year ended December 31, 2024

Assumptions used by the General Partner due to the lack of observable inputs may significantly impact the resulting fair value and therefore the Partnership's results of operations.

Under the Market approach, the General Partner applies comparable transaction multiples and/or comparable trading multiples where such comparable multiples are available and appropriate. Where such comparable multiples are not available or inappropriate, a discounted cash flow analysis is performed to estimate fair value.

The General Partner determines comparable public companies based on industry, size, developmental stage, business model, strategy, etc, and then calculates a trading multiple for each comparable company identified by dividing the enterprise value of the comparable company by its trailing revenue as well as projected future revenue. In certain instances, the inputs used in the calculation of the trading multiples may vary based on the industry.

The trading multiple may be then adjusted for differences between the comparable companies and the portfolio company, based on company specific facts and circumstances. The median of the calculated multiples is then applied to the underlying company's trailing revenue and projected future revenue (which may be normalized to adjust for certain nonrecurring events), to calculate the enterprise value of the underlying company. The enterprise value may be further adjusted for entity specific facts and circumstances such as litigation, recent rounds of financing, etc. The enterprise value is then allocated across various outstanding instruments based on liquidation preferences and other factors to estimate the fair value of the security.

The discounted cash flow model incorporates expected timing and level of cash flows, internally developed credit, interest rate and prepayment risk models using management's best estimate of key assumptions such as default rates, discount rates, volatilities, loss severity and prepayment rates.

Investments may be classified as Level 2 when market information becomes available, yet the investment is not traded in an active market and/or the investment is subject to transfer restrictions, or the valuation is adjusted to reflect illiquidity and/or nontransferability.

Investments whose values are based on quoted market prices in active markets, and are therefore classified within Level 1, generally include active listed equities. The General Partner does not adjust the quoted price for such instruments, even in situations where the Partnership holds a large position and a sale could reasonably impact the quoted price.



CENTANA GROWTH PARTNERS II, L.P.
Notes to Financial Statements
For the year ended December 31, 2024

Income Taxes

The Partners are required to report their respective share of the Partnership's taxable income on their own tax returns and are individually liable for any related taxes thereon.

The Partnership files income tax returns in the U.S. federal jurisdictions and various states. Pursuant to the statute of limitations, the Partnership is open to audit by the Internal Revenue Service (the "IRS") and various state taxing authorities for tax year 2024 which generally remain open for examination by tax authorities for the tax years beginning with the 2020 tax year, which was the initial year of filing. However, the Partnership does not have any examinations in progress with IRS or states that would cause them to record any additional tax liability.

The Partnership has reviewed all significant tax positions for which the statute of limitations remained open and determined there were no material unrecognized tax benefits. In addition, there have been no material changes in unrecognized benefits since January 1, 2024, nor any anticipation of material changes in the next 12 months. There have been no related tax penalties or interest, which would be recorded in the Statement of Operations.

The Partnership accounts for any income taxes under the asset and liability method, which requires the recognition of deferred tax assets and liabilities for the expected future tax consequences of events that have been recognized in the Partnership's financial statements. Under this method, deferred tax assets and liabilities are determined based on the differences between the financial reporting carrying amounts of assets and liabilities and their respective tax bases, and are measured by applying enacted tax rates and laws to taxable years in which such differences are expected to reverse. The effect of a change in tax rates on deferred tax assets and liabilities is recognized in the Statement of Operations in the period that includes the enactment date. Realization of the Partnership's deferred tax assets is dependent upon future earnings, the timing and amount of which are uncertain. The General Partner assesses the Partnership's income tax positions and records tax benefits based upon an evaluation of the facts, circumstances, and information available as of the reporting date. A valuation allowance is established when the General Partner determines that it is more likely-than-not that some portion or all of a deferred tax asset will not be realized. Valuation allowances, if any, are analyzed periodically and adjusted as events occur, or circumstances change, that warrant adjustment to those balances.

See Note 7 for further discussion of the Partnership's provision for income taxes.

The General Partner reviews and evaluates tax positions in the Partnership's major jurisdictions and determines whether or not there are uncertain tax positions that require financial statement recognition. The General Partner has determined the major tax jurisdictions as where the Partnership is organized, where the Partnership makes

CENTANA GROWTH PARTNERS II, L.P.

Notes to Financial Statements

For the year ended December 31, 2024

investments, and where the Partnership's investment advisor is located. Based on its analysis, the General Partner has determined that the Partnership has no uncertain tax positions that require recognition or measurement in the Partnership's financial statements.

Risks and Uncertainties

Credit risk extends to the ability of the debtor to pay on a timely basis all amounts of interest and principal. If an underlying investment of the Partnership is unable to meet its obligations, the Partnership could experience a loss from its investment. The investments in private entities are generally illiquid, and there can be no assurance that the Partnership will be able to realize the value of such investments in a timely manner. The Partnership's investments are also subject to the risk associated with investing in private equity entities. Certain of the Partnership's portfolio companies are smaller entrepreneurial companies that may have limited business histories, product or service lines, markets, financial resources and management depth.

Commitment and Contingencies

The Partnership is an investment company that is required to disclose financial support provided or contractually required to be provided to its portfolio companies. This financial support may be provided pursuant to contractual agreements, typically in the form of follow-on investments, guarantees or financing commitments. Most of the financial support is provided as an inherent part of the ongoing investment operations of the Partnership within these strategies and is considered to be provided at the discretion of the Management Company in its capacity as general partner and investment manager.

3. Investments

Valuation of the Partnership's Investments

The following table presents the investments carried on the Statement of Assets, Liabilities and Partners' Capital by level within the valuation hierarchy as of December 31, 2024.

	Cost	Level 1	Level 2	Level 3	Total
Investment in preferred securities, at fair value	\$ 275,940,762	\$ -	\$ -	\$ 346,109,247	\$ 346,109,247
Investment in common securities, at fair value	2,385,912	-	-	2,126,263	2,126,263
Investment in convertible promissory note, at fair value	1,012,417	-	-	2,080,222	2,080,222
	<u>\$ 279,339,091</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 350,315,732</u>	<u>\$ 350,315,732</u>



CENTANA GROWTH PARTNERS II, L.P.
Notes to Financial Statements
For the year ended December 31, 2024

The following table summarizes the investments as a percentage of partners' capital by security type as of December 31, 2024:

	Cost	Fair Value	% of Partners' Capital
Investment in preferred securities	\$ 275,940,762	\$ 346,109,247	108.08%
Investment in common securities	2,385,912	2,126,263	0.66%
Investment in convertible promissory note	1,012,417	2,080,222	0.65%
	<u>\$ 279,339,091</u>	<u>\$ 350,315,732</u>	<u>109.39%</u>

The following table summarizes the purchases and sales during the year ended December 31, 2024:

	Preferred Securities	Common Securities	Convertible Promissory Note	Non-Publicly Traded Securities
Purchase of investments	\$ 96,521,500	\$ -	\$ 1,012,417	\$ 97,533,917
Sale of investments	\$ 11,856,569	\$ -	\$ -	\$ (11,856,568)

There were no transfers of investments into or out of level 3 in the fair value hierarchy.

Level 3 Inputs

The following table summarizes the quantitative inputs and assumptions used in the valuation of investments classified within Level 3 of the fair value hierarchy as of December 31, 2024:



CENTANA GROWTH PARTNERS II, L.P.
Notes to Financial Statements
For the year ended December 31, 2024

Financial Assets	*Fair value December 31, 2024	Valuation technique	Unobservable input*	Range
Preferred Securities	\$287,422,461	Market Approach	Trailing EV / Revenue multiple	4.2x-10.9x
			Forward EV / Revenue multiple	3.7x-9.6x
			Discount to EV	25%
	\$58,686,786	Transaction Approach	Trailing EV / Revenue multiple	8.1x-12.6x
		Recent Transaction	N/A	N/A
Common Stock	\$2,126,263	Market Approach	Trailing EV / Revenue multiple	7.4x-7.4x
			Forward EV / Revenue multiple	6.3x-6.3x
		Transaction Approach	Trailing EV / Revenue multiple	8.9x-8.9x
Convertible Promissory Note	\$2,080,222	Market Approach	N/A	N/A
Total	<u>\$350,315,732</u>			

*In determining certain of these inputs, the General Partner evaluates a variety of factors including conditions, industry and market developments, market valuations of comparable companies and company-specific developments including exit strategies and realization opportunities. The General Partners has determined that market participants would take these inputs into account when valuing the investments. EV means Enterprise value. The General Partner applied a discount to EV of certain portfolio companies due to current company dynamics.

4. Partners' Capital

Committed Capital and Capital Contributions

At December 31, 2024, the Partnership has total capital commitments from its Partners of \$385,103,061, of which the Limited Partners committed \$375,000,000 and the General Partner committed \$10,103,061. As of December 31, 2024, total capital contributions since inception of the Limited Partners were \$277,507,959 or 74.0% of their total committed capital to the Partnership of which \$2,442,073 are deemed contributions and the remaining commitment were \$97,492,041 or 26.0% of their total committed capital to the Partnership. Total capital contributions since inception of the General Partner were \$4,005,653 or 39.6% of its total committed capital to the Partnership, and the remaining commitment were \$3,655,335 or 36.2% of their respectively commitment.

Distributions and Allocation of Profits and Losses

Prior to the Date of Dissolution, the General Partner may in its discretion cause the Partnership to make distributions of cash or Marketable Securities then held by the Partnership. Distributions of cash and securities in kind will first be apportioned among the



CENTANA GROWTH PARTNERS II, L.P.

Notes to Financial Statements

For the year ended December 31, 2024

Partners in accordance with their respective Capital Commitments. The amount so apportioned to the General Partner shall be distributed to it. The amount so apportioned to each Limited Partner shall be distributed between the General Partner and the Limited Partner as follows:

- (i) First, to such Limited Partner until such Limited Partner has received their pro rata share (based on relative Capital Commitments) of the Partnership's expenses incurred to date (including management fees);
- (ii) Second, to such Limited Partner until such Limited Partner has received their Unreturned Liquidated Cost Basis, if any;
- (iii) Third, to such Limited Partner until such Limited Partner has received an equal amount of their Unreturned Total Liquidated Investment Preference Amounts, if any;
- (iv) Fourth, 100% to the General Partner until the General Partner has received in respect of such Limited Partner 20% of all amounts in excess of those distributed; and
- (v) Fifth, 80% to such Limited Partner and 20% to the General Partner.

If the Partnership was to liquidate its assets at the carrying values and distribute the proceeds in liquidation under the terms of the Partnership Agreement, the General Partner would receive a carried interest distribution. For the year ended December 31, 2024, the Partnership has recognized unrealized carried interest of \$6,928,959 as an increase to Limited Partners' Capital, which was shown as an allocation of carried interest on the Statement of Changes in Partners' Capital.

During the year ended December 31, 2024, the Partnership had distributions totaling \$24,480,920, which is comprised of \$24,480,920 in recallable distributions in accordance with the Partnership Agreement.

5. Related Party Transactions

Management Fees

In accordance with the Partnership Agreement, management fees shall be payable in equal quarterly installments in cash in advance. The management fee for each of the Partnership's Fiscal Quarters (or portions thereof) shall be an amount equal to 0.625% of the sum of the Capital Commitments of all Limited Partners as of the first day of each such Fiscal Quarter (or portion thereof).



CENTANA GROWTH PARTNERS II, L.P.

Notes to Financial Statements

For the year ended December 31, 2024

Upon the earlier to occur of (i) the first full Fiscal Quarter following the fifth anniversary of the Initial Contribution Date or (ii) the date the General Partner or any managing members of the General Partner (so long as they remain such) call down capital of any Subsequent Fund, the management fee for each of the Partnership's Fiscal Quarters (or portions thereof) shall be an amount equal to 0.5% of the total cost basis of the Partnership's Portfolio Securities, excluding Portfolio Securities that have been written off.

The amount of management fee payable shall be reduced on a dollar-for-dollar basis by the amount of the Partnership organization expenses that exceed \$1,250,000, as discussed in footnote 2, *Summary of Significant Accounting Policies*, as well as the Partnership's Placement Fees paid by the Partnership or by the Management Company on behalf of the Partnership. In addition, the amount is also reduced by the Limited Partner Percentage of any directors' fees or consulting fees, break-up fees or equivalent compensation payable to, whether in cash or in kind, the General Partner, the Management Company, a managing member of the General Partner, or full-time, permanent employees of the Management Company. Management fees shall also be reduced by an amount equal to the capital contributions deemed made by the General Partner.

For the year ended December 31, 2024, the Partnership recorded gross management fees of \$9,066,168 which have been reduced by management fee offsets of \$458,823 relating to Partnership Placement Fees paid and deemed contributions of the General Partner; and none relating to the amount of Organization and Syndication Costs (excluding Partnership Placement Fees) exceeding \$1,250,000. The Partnership has not received and has not offset any management fees relating to any directors' fees or consulting fees, break-up fees or equivalent compensation for the year ended December 31, 2024.

Due to Affiliates

Due to affiliates represents amounts due to the Management Company for expenses paid by the Management Company on behalf of the Partnership. For the year ended December 31, 2024, the Management Company has paid \$2,021,154 for the Partnership's general expenses and transaction costs. At December 31, 2024, after the Partnership has paid \$2,125,328 to the Management Company during the year, the Partnership owes \$442,279 to the Management Company and is included in due to affiliates on the Statement of Assets, Liabilities and Partners' Capital.

6. Credit Facility

On April 7, 2020, the Partnership entered into a Committed Revolving Capital Call Line of Credit Agreement (the "Credit Agreement") with Silicon Valley Bank, a division of First-Citizens Bank & Trust Company, formerly, Silicon Valley Bank ("SVB") for the lesser of (i) \$30,000,000, (ii) 50% of remaining callable capital less the Partnership's contingent



CENTANA GROWTH PARTNERS II, L.P.

Notes to Financial Statements

For the year ended December 31, 2024

obligations, and (iii) 15% of the aggregate Capital Commitments. The limitation \$30,000,000 was decreased to \$25,000,000 on March 17, 2023. The purpose of the Credit Agreement is to provide the Partnership with short-term credit flexibility to fund investment transactions that may require completion prior to the date the Partnership would otherwise receive capital contributions from the Partners. SVB has been granted a security interest in the Partnership's capital call obligations and could require the General Partner to make subsequent capital calls to meet obligations under the loan, if such facility is utilized. The maturity date of the Credit Agreement is August 7, 2025. As of December 31, 2024, the Partnership has an outstanding loan balance of \$32,217,253.

The credit facility shall accrue interest at a floating annual rate equal to the prime rate (7.5% at December 31, 2024) minus 0.50% based on the amount drawn down. Interest is payable in arrears monthly on the first calendar day of each month and the maturity date. For the year ended December 31, 2024, interest expense under the loan facility was \$1,127,682.

At December 31, 2024, the Partnership was in compliance with debt covenants.

In addition to the interest expense incurred, if any, the Partnership will pay an annual facility fee for its participation in the loan arrangement for 0.25% of the commitment of the loan and an unused fee, which is payable quarterly in arrears, on a calendar year basis, in an amount equal to 0.25% per annum of the average unused portion of the revolving line, as determined by SVB. For the year ended December 31, 2024, unused fee under the loan facility was \$31,443 and credit facility fee was \$62,667.

7. Provision for income taxes

The Partnership does not have any provision for income taxes for the year ended December 31, 2024.

8. Financial Highlights

The ratios of expenses and net investment loss to average partners' capital have been calculated based on the capital accounts of the Limited Partners taken as a whole. The computation of such ratios for an individual partner may vary from the ratios presented below due to the timing and nature of individual capital contributions, distributions and allocations. The net investment loss ratio is calculated before the effects of any Carried Interest.

Financial highlights for the year ended December 31, 2024 are as follows:



CENTANA GROWTH PARTNERS II, L.P.

Notes to Financial Statements

For the year ended December 31, 2024

Ratios to average Limited Partners' Capital	
Expense (not including Management Fee Offsets and Incentive Reallocation)	4.22%
Management Fee Offsets	(0.17%)
Carried Interest Incentive Reallocation	(2.51%)
Net expenses including Management Fee Offsets and Incentive Reallocation	1.54%
Net investment loss	(4.05%)

The Internal Rate of Return ("IRR") was computed based on the actual dates of the cash inflows (capital contributions) and outflows (distributions and return of capital) and the ending net assets at the end of the year of the Partnership's capital account as of each measurement date. An individual Limited Partner's return may vary from this return based on the timing of its entry into or withdrawal from the Partnership. The IRR is computed net of all fees and incentive allocations (carried interest) to the General Partner.

IRR from November 22, 2019 through December 31, 2024	6.47%
IRR from November 22, 2019 through December 31, 2023	9.18%

9. Subsequent Events

The Partnership has performed an evaluation of subsequent events through March 31, 2025, the date the financial statements were available to be issued.

On February 6, 2025, the Partnership issued a Drawdown Notice to the Partners for calling capital in the total amount of \$31,698,561 for First Connect Insurance Services, LLC, Partnership expenses and management fees.